

earnings and assets, except as otherwise provided by agreement. Other examples of this arrangement are Chicago, Milwaukee, St. Paul, and Pacific Railroad Company Preferred; Wabash Railway Company 5% Preferred A; Consolidated Film Industries, Inc., Preferred.

In recent years, however, a wide diversity of participating arrangements have made their appearance, so that there is now no standard pattern.²

Participating issues require two kinds of calculation: one showing the number of times the fixed interest or dividend is earned, and the other showing the amount per share or per bond available for distribution under the participation privilege.

Example:

CELANESE CORPORATION OF AMERICA, 1938

Net for dividends	\$2,479,749
Prior preferred dividend (\$7)	1,153,726
First participating preferred dividend at \$7 rate	1,037,253
First participating preferred: additional participation	28,877
Balance for common	259,893
Prior preferred dividends earned	.2.15 times
Prior preferred and participating preferred (\$7) dividends earned ..	.1.13 times
Earned for participating preferred: participating basis	\$.7.19 per share

Privileged Issues Compared with the Related Common Stocks. In our previous discussion of the merits of privileged issues as a class it was pointed out that they sometimes offer a very attractive combination of security and chance for profit. More frequently, a decision may be reached that the privileged senior security is preferable to the common stock of the enterprise. Since a conclusion of this kind is based on *comparative* elements only, it is likely to involve smaller risks of error than one that asserts the *absolute* attractiveness of an issue.

Examples: Paramount Pictures Corporation \$6 First Preferred is convertible at any time into 7 shares of common. Towards the end of 1936 it was selling at just about seven times the price of the common, although

² For a number of variations of participating securities, see Appendix Note 3.